

You're smirking again, dear reader. You know what happened next. Gold collapsed over the next 20 years, while stocks and bonds rose!

Go figure.

Few fortunes are made by what most people think of as investing. Investing is what you do to preserve and enhance a fortune, not to make it. That is not to say you can't make a lot of money in the financial industry. There are many ways to make money in the financial industry, but few in ordinary retail-level investing.

The difference is simple. If you are in the financial industry, you are a seller; if you are a retail investor, you are a buyer. You make money, generally, as a seller, not as a buyer. To put it another way, you make money as a producer, not as a consumer. Few people make money by consuming Wall Street's products. Many make money by creating and selling those products.

Most retail investors are not content to buy the Dow stocks or to hold the stocks they have in hand. They try to avoid the bad companies and chase after the good ones. This only aggravates the "me-too," "buy-high-and-sell-low" pattern, which is so costly. The investor hears about a "hot" stock. He buys, along with everyone else. The stock rises, so he buys more. Then, the stock sells off as the insiders unload their positions.

Buying and selling also triggers another noxious phenomenon: taxes. The investor shares his gains with the government. As for his losses, they are more often kept to himself. Over time, the combination of taxes and investment losses is deadly.

But wait, there's more. The man who wishes to make his fortune by investing is doubly cursed. First, the market rarely obliges anyone. Second, it least favors him. Because he is in a hurry. He knows that he cannot wait to compound gains of 2 percent or 3 percent or even 5 percent. He won't live that long. He also knows that the companies he understands are not likely to provide much more than that.

The U.S. economy grew at an average rate of 3 percent over the past 100 years. There is no reason to expect the typical company to grow faster than the economy that supports it. In practice, some grow faster, some slower. The average is in the middle.